

EU Budget at a Glance

Where the money comes from and how it is spent

A short, sourced guide for readers who want the basic structure without specialist terminology.

THE KEY IDEA

The EU has a long-term budget and an annual budget

The Multiannual Financial Framework (MFF) sets spending ceilings and priorities for several years. Inside those limits, the EU adopts a separate annual budget for each financial year.

Independent educational resource. Not an official EU publication.

Information checked against official EU sources listed on page 5.

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Two layers of EU budgeting

The current long-term budget covers 2021-2027. It sets ceilings for EU spending. Each year, Parliament and the Council adopt an annual budget within that framework.

LONG TERM

Multiannual Financial Framework

The MFF sets the maximum amounts the EU can commit and spend over a multi-year period, both overall and across broad policy areas.

(European Commission, n.d.-a)

EVERY YEAR

Annual EU budget

The annual budget turns the long-term framework into yearly appropriations for programmes and policies. It can also be amended during the year.

(European Commission, 2026a)

2026 SNAPSHOT

€192.8 billion in commitments

€190.1 billion in payments

Commitments are legal promises to finance activities, sometimes over several years. Payments are the money actually paid out in a given year for current or earlier commitments.

(Council of the European Union, 2025)

How the EU budget is financed

Own resources are the revenue sources that finance the EU budget under rules agreed by the Member States. The largest source is linked to Member States' gross national income.

1 GNI-based contributions

A contribution linked to each country's gross national income. It acts as the balancing source and currently provides more than 70% of EU revenue.

(European Commission, n.d.-c)

2 VAT-based resource

A contribution calculated from a harmonised value-added-tax base in each Member State.

(European Commission, n.d.-b)

3 Customs duties

Duties collected on imports from outside the EU under the common customs tariff.

(European Commission, n.d.-d)

4 Plastic packaging resource

A contribution linked to the amount of non-recycled plastic packaging waste in each Member State.

(European Commission, n.d.-b)

ONE USEFUL POINT

The EU annual budget is designed to be balanced at adoption: agreed expenditure must be covered by revenue.

(European Commission, n.d.-c)

Seven broad spending areas

The 2021-2027 long-term budget is organised into seven headings. They cover areas ranging from research and cohesion to agriculture, migration, security and external action.

1 Single Market, Innovation and Digital

2 Cohesion, Resilience and Values

3 Natural Resources and Environment

4 Migration and Border Management

5 Security and Defence

6 Neighbourhood and the World

7 European Public Administration

WHO DECIDES THE ANNUAL BUDGET?

Commission proposes, Parliament and Council adopt

The Commission prepares the draft annual budget. The Council adopts its position, Parliament can amend it, and the two institutions negotiate. If they cannot agree, a conciliation committee tries to produce a joint text. Parliament and the Council then complete the formal adoption.

AFTER THE YEAR ENDS

Budget implementation is examined afterwards. Parliament has a central role in the annual discharge procedure, which looks at how the previous year's budget was used.

(European Parliament, n.d.; European Parliament, 2026)

References

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